

Sticky Wages on the Layoff Margin

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Question and Motivation

- how much does wage stickiness affect employment
- test **Efficient-Separations Hypothesis**
 - and quantity deviations from the benchmark
- possibility of reducing the frequency layoffs and UI claims through policy interventions

This Paper

Design and field a survey of UI recipients (2018.9-2019.7, IL), asking

- ① lowest acceptable wage to save their lost jobs (reservation wage)
- ② whether they had discussions with their former employers about compensation cuts in lieu of job loss
 - if not, why not?
- ③ whether they will accept a given (hypothetical) pay cuts to stay in the job for another 12 months
 - if not, why not?
- ④ wage on lost job, wage on new job (if they find new ones during the survey period)
- ⑤ demographics, industry, ...

Survey Overview

- **Sample Frame:** persons who began collecting UI benefits in IL during the period 2018.09.10-2018.11.24
 - low inflation, tight labor markets, diversified economy
- **Entry Survey:** one day after their first UI benefit
 - \$10 gift card, 9.1% response rate, 2777 completed
- **1st Follow-Up Survey:** fielded 2,4,8,12 weeks (randomized) after completing the Entry Survey
 - \$5 gift card, 51%-64% response rate, 1504 completed
- **2nd Follow-Up Survey:** fielded 4,8,12,16 weeks (correspondingly) after the 1st follow-up survey
 - conditional on completing the 1st follow-up survey
 - \$10 gift card, 74%-85% response rate, 1203 completed (all three surveys)

Internal Validity Check

two methods (through comparison):

- 1 how reservation wages relate to realized re-employment wages
- 2 how the willingness to accept pay cuts relates to both reservation and re-employment wages

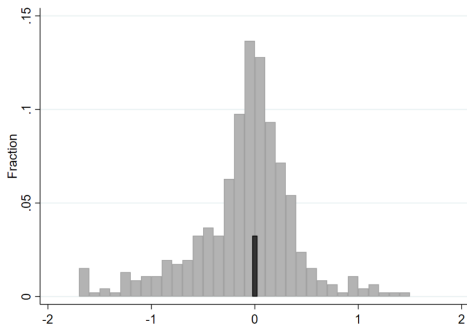
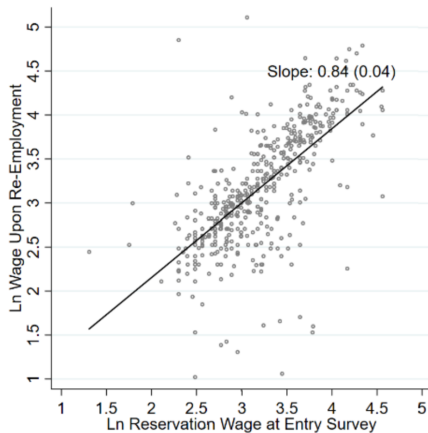
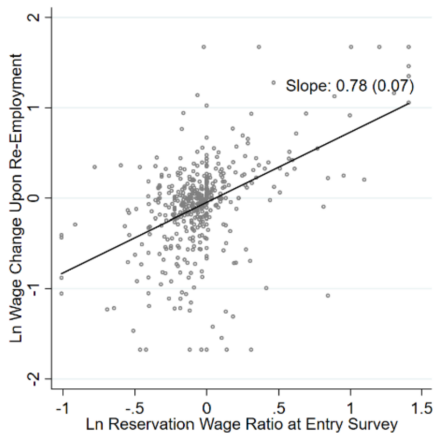


Figure: log wage change upon re-employment

Reservation wage vs. Realized Re-employment wage



Willingness to accept pay cuts

- laid-off job losers were asked: (X randomize over $\{5, 10, 15, 20, 25\}$)
 - “Would you have been willing to stay at your last job for another 12 months at a pay cut of X percent?”
 - their reservation wage (in the entry survey) and re-employment wage (if any) are also recorded
- findings (those who accept compared to those who reject)
 - ① lower mean reservation wage ratio
 - ② lower mean re-employment wage ratio
- findings (among those who accept the hypothetical pay cuts)
 - ① both mean reservation and re-employment wage ratio fall with the size of pay cuts X
 - ② on average, wage on new jobs drops

	(1)			(2)		
	Log reservation wage ratio			Log re-employment wage ratio		
	(1.1)	(1.2)	(1.3)	(2.1)	(2.2)	(2.3)
	Obs.	Mean	p-values	Obs.	Mean	p-values
<i>Panel A. Workers who accept pay cuts</i>						
Accept 5% wage cut	235	-0.09	<0.001	57	-0.077	0.30
Accept 10-15% wage cut	390	-0.10	<0.001	84	-0.106	0.09
Accept 20-25% wage cut	291	-0.15	<0.001	59	-0.20	0.007
Accept wage cut of any size	916	-0.11	<0.001	200	-0.12	0.002
<i>Panel B. Workers who reject pay cuts</i>						
Reject 5% wage cut	150	0.048	0.046	41	-0.11	0.14
Reject 10-15% wage cut	416	0.051	<0.001	93	0.046	0.35
Reject 20-25% wage cut	530	0.025	0.046	127	-0.054	0.21
Reject wage cut of any size	1,096	0.038	<0.001	261	-0.027	0.37
<i>Panel C. Hypothesis tests</i>						
Same wage ratio for those who accept and reject pay cuts	2,012		<0.001	461		0.046
Same wage ratio for those ... by size of pay cut	2,012		<0.001	461		0.073
Same wage ratio across pay cut categories: Accepts	916		0.05	200		0.47
Same wage ratio across pay cut categories: Rejects	1,096		0.37	261		0.15

Quantify the willingness to accept pay cuts

Size of proposed paycut	5%	10%	15%	20%	25%
Permanent layoffs	60.6 (2.4) 404	52.3 (2.5) 413	43.7 (2.5) 410	38.4 (2.4) 419	32.4 (2.3) 423
Temporary layoffs	54.5 (5.0) 101	42.9 (5.0) 98	35.8 (4.9) 95	34.3 (4.7) 102	37.4 (4.9) 99

Figure: Percent who would accept proposed pay cuts to save the job

- ① ~ 35% UI recipients, the wedge between the wage on the lost job and the value of time is at least 25% of the wage
- ② ~ 40% UI recipients, enjoy no or less than 5% rents

Rarity of discussions about pay cuts to save jobs

	Mean	S.E.	Count
<i>Overall</i>	2.8	0.3	2,567
<i>Type of layoff (p-value: 0.03)</i>			
Permanent	2.4	0.3	2,070
Temporary	4.2	0.9	497

Figure: Rarity of such discussions (in percent)

- the rarity of such discussions holds across industries, job tenure, education levels, firm size, union and non-union workers
- in contrast with the evidence that most job losers express a willingness to accept modest pay cuts to save jobs

Rarity of actual pay cuts before job loss

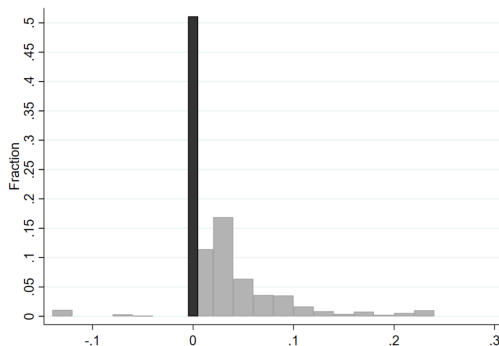


Figure: log of pay change in the year before layoff

- $\sim 1.5\%$ experienced a wage cut
- $\sim 46\%$ received a wage increase

Worker's view on wage stickiness

job losers, who had no such discussion, were asked:

- “If you had to guess, why do you think your employer did not discuss any kind of cuts in pay, benefits or hours?”

Summary: [details](#)

- 1 37% believe the proposed pay cut would not save jobs
 - consistent with the view that layoffs are bilaterally efficient (saving job is not in the joint interest of the worker and employer)
- 2 39% don't know why
 - these workers see themselves as passive in the wage-setting process
- 3 (only) 2% point to minimum wage law violation, etc.
- 4 among union workers, 45% say it's not allowed under wage contract
 - collective bargaining is an important source of wage stickiness on the layoff margin

Why job losers refuse (hypothetical) pay cuts

if they refused the hypothetical pay cuts, they were asked

- “What are the reasons why you would accept a pay cut of X percent to avoid being laid off?”

Summary of top reasons: [details](#)

- 1 could find a better job
- 2 the pay cut would feel like an insult
 - Bewley (1999), Akerlof and Yellen (1990)
- 3 would rather not work at the proposed pay level

Quantifying Deviations from the Efficient Separations Benchmark

consider job losers who meet two conditions:

- ① they would accept the proposed wage cut
 - ② they believe the proposed cut would save their lost job
- * sticky wages play a role in such layoffs.

result: 28% meet both conditions (an estimate of deviations from the Efficient Separations Benchmark)

- biased down: some respondents might fulfill both conditions when offered a different (tailored) wage cut.
- biased up: 40% job losers “Don’t know” why no such discussions, and if they know, they might say “it could not save the job”
- 24% as a preferred estimate

Question: What leads to wage stickiness on the layoff margin?

Challenge to Theory Stressing Private Information about Outside Options

- theory of Hall and Lazear (1984), Malcomson (1997): private information about outside options can lead to sticky wages on the layoff margin, and to violations of bilateral efficiency
 - efficiency is achieved by giving the wage-setting decision power to the agent holding private information
- However, if private information leads to the dissolution of valuable matches, why don't employers (and/or workers) make efforts to overcome such information asymmetry?
 - such discussion is rare in the survey sample

Challenge to Theory Stressing Re-negotiation Cost

- such theory says that if both parties see little surplus from the matching, then even with modest costs of re-negotiation, neither might initiate a discussion
- However, $\sim 35\%$ job losers say they would accept 20-25% wage cuts
 - internally valid, as their mean wage reductions upon re-employment is 18%, mean reservation wage is 14% below the lost job
 - not plausible for the direct re-negotiation to be so large

Possible Explanations

- Fairness norms: wage cuts could trigger drops in effort and productivity (Akerlof and Yellen, 1990)
- Morale effects: wage cuts could undermine employee morale, leading to negative effects on productivity (Bewley, 1999)
- Collective bargaining: such agreements often feature pay structures with limited flexibility
- ... and other theories, which depart from a strictly bilateral perspective on compensation and separations

This paper

- documents the rarity of discussion between employers and workers before the layoff
- records that most workers are willing to accept pay cuts to save their jobs, and some of their willingness is significant
- quantifies the deviation from the Efficient Separations Benchmark (i.e. separations due to wage stickiness)
- discusses the source of wage stickiness on the layoff margin
 - challenge conventional wisdom stressing private information about outside options and re-negotiation cost
 - provide partial support for theories departing from a strictly bilateral perspective on compensation and separations

Appendix

	(1) It would lead the best workers to quit	(2) It would undermine morale	(3) It would not have prevented my layoff	(4) It's not allowed under union contract	(5) It would violate minimum wage laws	(6) Benefits cut would violate the law	(7) It would upset the employer's pay scale	(8) Don't know	(9) Other
<i>Panel A. All responses</i>									
<i>Overall</i>									
Count= 2,496	8.4 (0.6)	8.0 (0.5)	36.3 (1.0)		0.9 (0.2)	1.5 (0.2)	2.4 (0.3)	38.9 (1.0)	9.4 (0.6)
<i>Permanent layoff</i>									
Count= 2,020	9.0 (0.6)	9.1 (0.6)	37.7 (1.1)		1.0 (0.2)	1.6 (0.3)	2.3 (0.3)	39.3 (1.1)	10.7 (0.7)
<i>Temporary layoff</i>									
Count= 476	5.9 (1.1)	3.2 (0.8)	30.3 (2.1)		0.6 (0.4)	1.3 (0.5)	2.7 (0.7)	37.2 (2.2)	3.8 (0.9)
<i>500+ employees</i>									
Count=635	8.5 (1.1)	9.8 (1.2)	34.3 (1.9)		0.6 (0.3)	1.9 (0.5)	3.0 (0.7)	34.6 (1.9)	10.2 (1.2)
<i>Union job</i>									
Count=372	4.6 (1.1)	3.2 (0.9)	26.1 (2.3)	44.6 (2.6)	1.1 (0.5)	2.4 (0.8)	3.2 (0.9)	29.3 (2.4)	4.6 (1.1)

Figure: Reasons for why no such discussion

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	Count	(1) Can find another job that pays more	(2) The pay cut would feel like an insult	(3) I prefer not working over working at a lower pay level	(4) Other	(5) Uninformative response
<i>Panel A. Permanent layoffs</i>						
<i>A. Permanent layoffs from non-union and union jobs</i>	1,102	50.1 (1.5)	38.0 (1.5)	20.5 (1.2)	19.4 (1.2)	4.4 (0.6)
		(1) Can find another job that pays more	(2) The pay cut would feel like an insult	(3) I prefer not working over working at a lower pay level	(4) Other	(5) Uninformative response
<i>Panel B. Temporary layoffs</i>						
<i>B. Temporary layoffs from non-union and union jobs</i>	271	26.2 (2.7)	24.0 (2.6)	24.4 (2.6)	56.8 (3.0)	4.4 (1.3)

Figure: Reasons for refusing the hypothetical pay cuts

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